

Disrupting Forces in US Payments: A Four-Page Strategic Report

PAGE 1 — THE FOUR STRUCTURAL DISRUPTIONS

The US payments ecosystem is experiencing simultaneous compression across four distinct value pools that collectively represent roughly \$150–170B in annual revenue. These are not cyclical pressures — they are structural dislocations driven by the convergence of new infrastructure, regulatory intervention, and technology-native competitors. Each disruption has a different origin, velocity, and set of beneficiaries.

DISRUPTION 1 — ACQUIRING MARGINS: THE RACE TO ZERO

What is being disrupted. The merchant acquiring spread — the margin a processor earns for sitting between a merchant and the card network — has compressed from roughly 50–75bps a decade ago to sub-20bps for large enterprise merchants today. Standalone gateway revenue is approaching zero. The traditional ISO model (independent sales organizations reselling processing capacity) is in structural decline.

Who is driving it. Adyen began the compression by eliminating the third-party acquirer markup entirely — it built its own direct acquiring licenses in every major market, cutting out the ISO layer and passing the cost efficiency to merchants as a lower all-in rate. Stripe replicated the economic logic from the developer side: commoditize the transaction, monetize the intelligence (Radar fraud, Stripe Capital, Stripe Atlas, Stripe Treasury). Shopify Payments, Toast, and vertical SaaS processors followed with embedded acquiring that charges a higher headline rate but delivers higher retention, making the standalone processor's price advantage irrelevant. The PayFac (payment facilitator) model accelerated the disaggregation further. By allowing sub-merchants to onboard under a master merchant account, PayFacs like Stripe and Square removed the need for dedicated merchant underwriting — a core service for which traditional acquirers charged a spread premium. There are now an estimated 750 PayFacs in the US, and the model has spread into every vertical from healthcare (Waystar) to field services (ServiceTitan Payments) to legal (LawPay).

Who is most exposed. The mid-tier acquirers — those without proprietary software, scale advantages, or direct acquiring infrastructure — are the most vulnerable. WorldPay (FIS), Heartland (Global Payments), and the ISO channel generally are being squeezed from above by Adyen/Stripe winning enterprise merchants and from below by vertical SaaS processors winning SMBs with bundled software + payments. The pure-play gateway business (Authorize.net, NMI, USAePay) has been functionally commoditized. The only sustainable acquirer position is software attachment (Clover, Toast, Shopify), direct acquiring with AI-based routing (Adyen), or API infrastructure with data moats (Stripe).

Government role. Indirect but important. The Durbin Amendment (2010) capped debit interchange and mandated merchant routing choice for debit, which established the political and legal template for further regulatory intervention. The pending Credit Card Competition Act (CCCA), if enacted, would extend routing mandates to credit cards — effectively applying Durbin economics to the \$80–90B

credit interchange pool and further compressing the economics that underpin issuer-funded rewards programs, which in turn cross-subsidize acquiring costs for preferred merchants. The CFPB has also been active in merchant disclosure standards and interchange fee transparency, adding compliance cost to smaller acquirers without scale to absorb it.

DISRUPTION 2 — CROSS-BORDER FX SPREAD: FINTECHS AND STABLECOINS TAKE THE CORRIDOR

What is being disrupted. Bank FX spread on retail and SMB cross-border payments has historically been 1.5–3% above the interbank mid-market rate, plus wire fees of \$25–50 per transaction. This spread exists because correspondent banking is opaque, multi-hop, and slow — and opacity enables margin. That opacity is being systematically eliminated.

Who is driving it. Wise (formerly TransferWise) is the most important structural disruptor. Its model — match payment flows in both directions within the same corridor, move only net positions across borders using local bank accounts, and charge 0.3–0.7% all-in at the real mid-market rate — exposed the bank FX margin as a fee with no corresponding service value. Wise now handles \$100B+ in annual cross-border volume. Airwallex reached \$1B in ARR in October 2025, processing \$130B+ in annualized TPV, by extending the same logic into embedded finance infrastructure for platforms and SMBs. Nium, Ebury, and Currencycloud (acquired by Visa, notably) have built local payment network access in 50–100+ markets, enabling settlement that bypasses correspondent banking entirely in the most active corridors. The stablecoin vector is more nascent but potentially more radical. USDC-denominated settlement of cross-border B2B invoices eliminates the FX conversion step entirely for USD-to-USD-equivalent flows. An EY survey published in 2025 found that over 50% of companies surveyed expect to adopt stablecoins for cross-border payments within 6–12 months, and most estimate stablecoins will account for 5–10% of cross-border payments by 2030 — equivalent to \$2–4 trillion in annual volume. The reserve float on \$280B+ in outstanding USD stablecoins already generates \$12–16B annually at current T-bill yields, creating an issuer business model that does not depend on the FX spread at all.

Who is most exposed. Regional banks with significant international wire income are the most immediately exposed. Western Union's consumer remittance model has been in structural decline for a decade as Wise, Remitly, and mobile-first corridors (Chipper Cash, Wave, GCash integrations) compress the retail corridor margin. At the wholesale institutional end, JPMorgan and Citi maintain defensible positions through trade finance integration, multi-currency treasury management complexity, and the need for credit facilities alongside payment flows — services fintech challengers cannot yet replicate. The exposed middle is SMB cross-border and mid-market corporate treasury, where the combination of Airwallex, Nium, and emerging stablecoin rails offers a total cost of payments 60–80% below bank alternatives.

Government role. The GENIUS Act (enacted July 2025) is the single most consequential regulatory development. By creating a federal framework for payment

stablecoins — requiring 100% reserves in US dollars or short-term Treasuries, AML/BSA compliance, and federal or state licensing — it legitimized stablecoin-based cross-border settlement at institutional scale. The OCC granted national trust bank charters to Circle, Paxos, and three other nonbank stablecoin issuers in December 2025. The Federal Reserve is separately considering "skinny" master accounts for federally regulated stablecoin issuers, which would give them access to FedNow and Fedwire — potentially completing the infrastructure for stablecoin-based domestic and international settlement without full bank charter requirements. OFAC sanctions compliance remains the critical constraint: any stablecoin rail that cannot demonstrate real-time sanctions screening at the transaction level will be restricted from serving US-domiciled entities.

PAGE 2 — DISRUPTIONS 3 AND 4

DISRUPTION 3 — WIRE FEES: REAL-TIME RAILS ERODE A PROTECTED PROFIT POOL

What is being disrupted. Domestic wire fee income — \$15–50 per outgoing wire for consumers, variable wholesale fees for corporate treasury — has historically been protected by the fact that no alternative existed for same-day, guaranteed, high-value settlement. That protection is now structurally weakened.

Who is driving it. FedNow (launched July 2023) and the RTP network (The Clearing House, launched 2017) together provide 24/7/365 real-time settlement with instant fund availability, irrevocable transfer, and message-level confirmation. FedNow expanded from 35 launch banks to over 900 institutions by August 2024, with community banks representing 78% of participants. The FedNow per-transaction network fee is \$0.045 — compared to \$15–50 for a domestic wire. For the majority of domestic use cases — insurance disbursements, payroll, earned wage access, B2B AP under \$1M, government benefits — FedNow or RTP is now technically superior and economically dominant.

The competitive logic is straightforward. A bank charging \$25 for a same-day domestic wire is competing against a network that settles in 7 seconds for \$0.045. The wire fee income is defensible only where transaction size is very large (where the flat fee is immaterial), where the counterparty is not RTP/FedNow-enabled, or where the workflow requires the specific legal and audit trail of a Fedwire transaction. That defensible territory is narrowing quarter by quarter as FedNow adoption grows. Modern Treasury, Dwolla, and bank-direct treasury APIs are adding workflow automation on top of RTP/FedNow rails — request-for-payment (RfP) protocols, reconciliation automation, webhook-based confirmation — that make the real-time rail not just a cheaper wire but a more functional one. This removes the operational justification for wire use in routine B2B flows.

Who is most exposed. Regional and community banks whose non-interest income relies disproportionately on wire fee revenue. Large money-center banks (JPMorgan, Citi, Wells Fargo) are better positioned because their wire volume is concentrated in institutional and cross-border flows (where Fedwire and SWIFT remain the only practical option) and because they are investing aggressively in RTP/FedNow product

development to capture the volume shift rather than just lose it. The mid-market corporate banking segment — companies sending 50–500 domestic wires per month for routine treasury operations — is the most at-risk customer segment for wire fee attrition.

Government role. The Federal Reserve is simultaneously the disruptor and the regulator here. By building, owning, and pricing FedNow at near-zero, the Fed has made a policy choice that real-time payment access should be a low-cost utility, not a profit center. This was a deliberate competitive response to the perceived unfairness of the RTP network being owned by The Clearing House (owned by the largest US banks) — the Fed wanted a public option. The tension between the Fed's dual role as infrastructure operator (FedNow) and bank supervisor creates an interesting dynamic: the Fed is simultaneously reducing bank wire fee income and supervising the banks whose profitability it is affecting. To date, the Fed has not shown any indication of restraining FedNow pricing or growth to protect bank fee income.

The CFPB's oversight of consumer payment practices adds further pressure: any bank that imposes excessive friction to steer consumers toward wire products (higher fees) over real-time alternatives could face scrutiny under unfair, deceptive, or abusive acts and practices (UDAAP) standards.

DISRUPTION 4 — CHECK PROCESSING: SECULAR ELIMINATION, NOT DISRUPTION

What is being disrupted. Check processing is not being disrupted in the traditional competitive sense — it is being structurally eliminated. Cash usage fell from ~20% of all transactions in 2021 to ~16% by 2024; check volume follows a steeper decline of 6–8% per year. Unlike the other three disruptions, there is no debate about the trajectory — only about the pace.

Who is driving it. ACH Same-Day (Nacha), RTP, FedNow, and digital invoice platforms (Bill.com, AvidXchange, Tipalti, Coupa) are collectively absorbing the functions that checks served. Payroll moved to direct deposit decades ago. Consumer bill pay has largely migrated to online banking ACH. The remaining B2B check volume — estimated at roughly 60% of remaining check issuance — persists primarily because of inertia in legacy ERP/AP systems (SAP, Oracle, QuickBooks), legal and real estate settlement conventions, and the preference of smaller businesses for the "check in the mail" paper trail.

Digital check issuance services (Checkbook.io, Deluxe ePay) are a transitional product: they allow a sender to trigger a payment that results in either a physical check or an ACH/RTP, depending on what the recipient's system can accept. These services are capturing a declining volume base, not a growing one.

Who is most exposed. Check printing and processing companies — Deluxe, Harland Clarke (now part of Vericast) — face structural revenue decline as their core product disappears. Banks that earn overdraft fees from check float timing are losing that income as float windows narrow. Bank back-offices that process check exceptions and returned items employ significant operational staff that will be eliminated by

volume decline. The Federal Reserve itself operates check processing infrastructure at declining utilization — a public infrastructure cost without a growing revenue base. **Government role.** Largely passive accelerant. The Check 21 Act (2003) enabled electronic check images to substitute for physical checks, which dramatically reduced check processing costs and made same-day clearing possible — ironically accelerating the migration to fully electronic alternatives by removing the settlement timing advantage checks had over ACH. The CFPB's Regulation CC (funds availability) continues to govern check holds, but with declining relevance as the transaction volume migrates. No government actor is defending check volume; the policy trajectory uniformly favors digital payment adoption.

PAGE 3 — INTERACTION EFFECTS AND WHO CONTROLS THE DISRUPTION

The Disruptions Are Not Independent

The four disruptions interact in ways that compound their combined effect on incumbent revenue streams. Understanding the interaction effects is more strategically important than understanding each disruption in isolation.

Acquiring compression accelerates A2A adoption. As acquiring margins compress, processors and PSPs lose the economic cushion that allowed them to offer incentives, discounts, and relationship pricing to retain merchants. Merchants who were previously retained by a favorable processing rate now face standardized pricing — and become more receptive to A2A/FedNow alternatives that offer even lower per-transaction costs. The same merchant cost consciousness that drove acquiring margin compression is the behavioral precondition for merchant-funded real-time payment incentives (cashback on FedNow transactions, discount for paying by bank transfer). This is the mechanism by which FedNow could eventually accelerate from B2B disbursements into consumer-facing checkout, which would in turn accelerate the decline of card interchange income — a fifth disruption not yet fully in motion.

FX compression and stablecoin rails reinforce each other. Wise and Airwallex have already eliminated the opacity that justified bank FX spreads in major corridors. Stablecoins eliminate the FX conversion requirement for USD-to-USD-equivalent flows entirely. As more B2B cross-border flows settle in stablecoins (denominated in USDC), the demand for FX conversion services in those corridors shrinks — removing the revenue base from which banks historically cross-subsidized other services. The combined effect: correspondent banking becomes a service for genuinely complex multi-currency institutional flows, not a default infrastructure tax on every cross-border SMB payment.

Wire fee decline feeds RTP/FedNow adoption, which feeds check decline. As FedNow achieves near-universal bank participation, the practical distinction between a "wire" and a "real-time payment" disappears for most domestic use cases. Once treasury teams at mid-market companies normalize to FedNow for domestic disbursements, the inertia supporting check payment for the same B2B flows weakens. The operational and accounting infrastructure that FedNow builds — automated reconciliation, webhook confirmations, RfP protocols — is exactly the infrastructure that makes replacing a check with a digital payment frictionless.

Who Controls Each Disruption

Disruption	Primary Disruptors	Facilitating Infrastructure	Incumbent Defender
Acquiring margin compression	Adyen, Stripe, vertical SaaS	PayFac model, cloud-native processing	Fiserv/Clover, FIS/WorldPay
Cross-border FX spread	Wise, Airwallex, Circle/USDC	Local payment networks, GENIUS Act	JPMorgan Payments, Citi TTS
Wire fees	FedNow (Federal Reserve), RTP	Modern Treasury, Dwolla, bank APIs	Large money-center bank treasury
Check processing	ACH/Same-Day, RTP, AP automation	Bill.com, AvidXchange, Coupa	Deluxe, Vericast, bank back-offices

The pattern is consistent across all four: the disruptor is either a technology-native company with lower cost structure (Adyen, Wise, Airwallex) or a government-built public infrastructure (FedNow). In every case, the incumbent defender has higher fixed costs, legacy technology infrastructure, and revenue models built on opacity, friction, or monopoly access — all of which are being eliminated by the disruptor's structural advantage.

The AI Second-Order Effect

Across all four disruptions, AI is acting as an accelerant — but in a specific and often underappreciated way. AI does not directly lower transaction fees. What AI does is dramatically reduce the operational cost of compliance, fraud detection, and exception handling — costs that previously justified a significant portion of the incumbent's margin premium.

When a regional bank argues that its \$35 wire fee reflects the cost of compliance screening, fraud monitoring, and operational handling, that argument was defensible in 2015 when those processes were manual. In 2026, with AI-based sanctions screening (ComplyAdvantage, Hawk AI), real-time fraud scoring (Sardine, Featurespace), and automated exception handling (Modern Treasury's AI operations layer), the same compliance work costs a fraction of what it did. The margin premium for operational complexity evaporates when the operational complexity itself is being automated away. This is how AI changes the *economics* of disruption — not merely the efficiency — in acquiring, cross-border, and wire processing simultaneously.

PAGE 4 — GOVERNMENT ROLE, STRATEGIC IMPLICATIONS, AND CONCLUSIONS

The Government as Simultaneous Disruptor and Regulator

The federal government's role across these four disruptions is more active and more consequential than is typically acknowledged. In two of the four disruptions, government is the primary disruptor.

Federal Reserve. The Fed built and operates FedNow at near-cost pricing, making a deliberate policy decision to commoditize domestic real-time settlement as a public good. This is not a regulatory action — it is a competitive infrastructure investment that directly displaces bank wire fee income. The Fed's rationale: financial system resilience, payment system access for community banks, and public interest in low-

cost payment infrastructure. The side effect: every basis point of wire fee income displaced by FedNow is a basis point the Fed's own supervisory teams will not be protecting on behalf of the banks they regulate.

GENIUS Act (July 2025). Congress legitimized stablecoin-based settlement with the GENIUS Act, creating the regulatory framework that allows Circle, Paxos, and bank-issued stablecoins to operate at national scale. By requiring 100% reserves and BSA/AML compliance, the GENIUS Act simultaneously raised the compliance bar (eliminating non-compliant offshore stablecoins like Tether from serving US entities) and lowered the strategic risk for institutional adoption. The government's motivation: maintain US dollar dominance in global digital payments, capture Treasury bill demand from stablecoin reserves (estimated \$280B+ at year-end 2025, potentially \$3T by 2030 per Treasury Secretary Bessent), and prevent Chinese or European digital currency alternatives from establishing dominance.

CFPB and interchange regulation. The CFPB's pursuit of Regulation CC updates, BNPL regulation, and open banking (1033 rulemaking) all reduce opacity in the payments system — which is precisely the opacity that supports incumbent margin in acquiring and FX. The Credit Card Competition Act, while not yet passed, represents a sustained congressional threat to the credit interchange model that constrains issuer and network investment in anti-disruption strategies. Issuers cannot raise rewards programs to counter A2A adoption if interchange caps are on the horizon.

The regulatory paradox. The government is caught in a structural contradiction. Through the Fed (FedNow) and GENIUS Act (stablecoins), it is actively destroying legacy payment fee income. Through bank supervisory agencies (OCC, FDIC, FRB), it is responsible for the safety and soundness of the institutions whose fee income it is destroying. The resolution of this paradox is not obvious. The most likely outcome: regulators will accept the gradual compression of fee income as a market-driven outcome as long as it does not threaten bank capital adequacy or systemic stability — but will not actively intervene to protect incumbent fee structures.

Who Loses the Most, and How Fast

Near-term (1–2 years, high certainty): Regional banks with above-average wire fee income exposure. Mid-tier acquirers without software. Western Union's consumer remittance corridors. Check printing and processing businesses. Legacy rules-based fraud and AML vendors.

Medium-term (3–4 years, high confidence): Bank SMB cross-border FX spread in major corridors (USD/EUR, USD/GBP, USD/MXN). Standalone gateway businesses. ISO-channel acquirers. Correspondent banking for sub-\$1M B2B international payments. Card interchange in bill pay and recurring billing categories (FedNow/A2A displacement accelerates here first).

Longer-term (5 years, scenario-dependent): Premium rewards card interchange — only if CCCA passes. Consumer-facing card acceptance fees — only if merchant-funded A2A incentives achieve critical mass. Institutional SWIFT correspondent economics — only if bank-issued stablecoins reach sufficient scale for institutional cross-border flows.

Who Wins, and Why

The consistent winner profile across all four disruptions is: **the player that controls the intelligence layer, not the infrastructure layer.** Adyen wins not because it has better acquiring infrastructure than Fiserv, but because its unified platform generates better authorization rate data, better fraud models, and better merchant analytics. Wise wins not because it has better FX technology than Citi, but because it has transparent pricing that eliminates the information asymmetry. Circle wins not because blockchain is inherently superior to Fedwire, but because programmable settlement enables financial product categories — conditional escrow, streaming payroll, instant DvP — that existing rails cannot deliver. FedNow wins not because real-time is more efficient than same-day, but because the government has priced it at cost and mandated near-universal access.

The second consistent winner profile: **the player with the most complete data feedback loop.** Stripe's fraud advantage is its aggregate transaction signal from millions of merchants. JPMorgan's cross-border defense is its cross-asset client data — knowing a corporate client's FX exposure, credit facility, and payment flows simultaneously. Visa and Mastercard's network assessment fees are defensible because they are the only players who see both sides of every card transaction, enabling a value-added services business (fraud tools, analytics, tokenization) that no single-side competitor can replicate.

Strategic Conclusions

Three non-negotiable strategic realities emerge from this analysis.

First, **margin compression in the four disrupted pools is permanent and irreversible.** No regulatory change, competitive response, or technology investment will restore 2015-era acquiring spreads, bank FX margins, or wire fee income levels. The strategic question for incumbents is not how to stop the compression but how to replace the revenue with adjacent services — software, compliance, credit, data — before the compression reaches critical mass in their specific customer segment.

Second, **the disruptions are converging toward a single structural outcome: real-time, low-cost, programmable settlement as a utility.** Whether that utility is provided by FedNow, stablecoin rails, or both, the directional outcome is the same — transaction costs approach zero, float windows collapse, and the revenue model for financial infrastructure shifts entirely toward software, intelligence, and credit. The firms best positioned are those already generating revenue from intelligence (Stripe, Visa/Mastercard VAS, Adyen Analytics) and those with proprietary credit relationships (JPMorgan, Amex) rather than those dependent on infrastructure rent.

Third, **the government is not a neutral referee in these disruptions — it is an active participant.** The Federal Reserve built FedNow to commoditize domestic real-time settlement as a deliberate policy choice. Congress legislated the GENIUS Act to legitimize stablecoin settlement as a deliberate dollar-dominance strategy. Any incumbent strategy that assumes regulatory protection of current fee structures is built on a false premise. The political economy consistently favors lower fees for consumers and merchants over higher margins for banks and processors. That asymmetry will not change.

Analysis current as of Q1 2026. Revenue pool estimates based on public filings, industry data, and Federal Reserve payments studies. Forward projections reflect base-case scenario assumptions; actual outcomes depend on regulatory timing, technology adoption curves, and macroeconomic conditions.